



CA INTER MAY/SEP 26/JAN 27

INCOMETAX

**AGRICULTURE
INCOME**

ONE SHOT



CHAPTER 1B: BASIC CONCEPTS

MEANING OF AGRICULTURAL INCOME [SECTION 2(1A)]

- Income from leasing out of agricultural land [Section 2(1A)(a)]**
Rent received from agricultural land—whether in cash or kind—is **agricultural income** and is **exempt** from income tax.
But interest on delayed rent is taxable as Income u/h OS.
- Income from Agricultural Operations [Section 2(1A)(b)]**
Income derived from such **agricultural operations** shall be considered to be agricultural income.

Agriculture Operation

Operation	Income
Only Basics Operations	Agriculture income
Basics Operations & Subsequent operations	Agriculture income
Only Subsequent operations	Non Agriculture income

Note

- Dividend** from a company engaged in agricultural activities is **not agricultural income** for shareholders.
 - Salary or interest** paid by a partnership firm out of its agricultural income is treated as **agricultural income** in the hands of partners.
- Any income derived from any building [Section 2(1A)(c)]**
Income from building shall be agriculture income if all the following conditions are **satisfied**.
 - Is **on or near** agricultural land.
 - Is **occupied by the cultivator or rent receiver**.
 - Is **used for residence or storage/other out-house purposes**
 - Is on land **assessed to land revenue or located in a rural area**

Note: Income derived from **nursery** shall be deemed to be an Agriculture income.

SALE OF AGRICULTURAL PRODUCE [RULE 7]

Case 1

Sold As it is / after minor Process (i.e. essential character not altered)

Agriculture Income	
Sale Proceeds	-
Less: Cultivation Cost	-
Agriculture Income	-
PGBP Income	NIL

Case 2

Sold After Further Processing

Agriculture Income	
FMV Of Agricultural Produce	-
Less: Cultivation Cost	-
Agriculture Income	-
PGBP Income	
Sale Proceeds	-
Less: (FMV of Agricultural Produce + Processing Cost)	-
Business Income	-

Composite Income

Rule	Business	Agriculture	Non- Agriculture
7A	Manufacture of Rubber	65%	35%
7B(1)	Sale of coffee grown and cured by seller.	75%	25%
7B(1A)	Sale of coffee grown, cured, roasted and grounded	60%	40%
8	Growing and manufacturing tea in India.	60%	40%



PARTIAL INTEGRATION OF AGRICULTURAL INCOME WITH NON-AGRICULTURAL INCOME

Addition of agricultural income to non-agricultural income for computation of tax is known as **partial integration**.

Conditions

1. The **assessee** is an **individual** or HUF or BOI, or AOP or artificial judicial person.
2. Non-agricultural income exceeds **BEL** and
3. Agricultural income **exceeds ₹5,000**.

Step 1	Calculate tax on TI including agriculture income	-
Step 2	Calculate tax on (BEL + Agriculture Income)	-
Step 3	Tax Before Rebate or Surcharge (Step2 – Step3)	-
Step 4	Apply Rebate or Surcharge as the case may be	-
Step 5	Levy 4% HEC	-
	Tax Liability	-





THANK
YOU